

451 White Horse Pike, Atco NJ

Recommendation: acquire at \$1,100,000, all cash. Ceiling \$1,250,000.

A corner drive-thru on a Philadelphia–shore highway, bought at the value of the building alone — with 2.5 developable acres thrown in for nothing.

PURCHASE PRICE

\$1.10M

\$250/SF · they ask \$1.6M

GOING-IN CAP RATE

12.0%

Yr-1 NOI \$132,000 ÷ price

10-YR UNLEVERED IRR

15.0%

Renewal case · 19.4% levered IRR

10-YR UNLEVERED IRR

+6.1%

Floor case · -1.1% levered IRR

Why it is cheap: the sitting cannabis tenant pays 36% over market rent. We refuse to pay for rent that leaves with them — so we bid what the building is worth let to a bank or a doctor, and take everything else as free option value.

All returns in this deck are 10-year unlevered IRRs from a single model. The 12.0% above is a year-one cash yield, not a return.

The whole deal on one page.

PURCHASE PRICE \$1,100,000 \$250/SF · 12.0% going-in cap	INDICATED VALUE \$1,252,500 Weighted, four methods	10-YR UNLEVERED IRR 6.1–18.3% Range across all four cases	10-YR UNLEVERED IRR 15.0% Renewal — the likeliest case
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WHAT IT IS

A 4,400 SF corner building on **3.13 acres** at US Route 30 and Cooper Folly Road, Atco NJ. Former bank branch with a vault and a **3-lane drive-thru**. 15,370 cars a day.

Let to a single-location cannabis dispensary at **\$132,000/yr absolute NNN** with 6.5 years left. No rent increases. Two personal guarantees, no corporate covenant.

Asking **\$1,600,000**.

WHY WE CAN BUY IT WELL

The dispensary pays **\$30.00/SF**. Any ordinary tenant pays **\$22.00**. That premium belongs to their licence, not our building, and it leaves when they do.

So we bid what the building is worth let to a bank or a doctor. **85% of the \$500,000 gap** between their price and ours is that single question.

At our price the cannabis rent, the renewal option and **2.5 spare acres are free**.

WHY THE DOWNSIDE IS CONTAINED

68% of our price is covered by land and empty shell alone. **78%** of it comes back as contracted rent before the lease even ends.

Break-even rent is **\$21.25/SF** against a \$22.00 market. **All four modelled outcomes make money** — the worst returns 6.1%.

The honest caveat: a 55% mortgage turns the worst case into a **1.1% annual loss**. Cash or lower leverage keeps every case positive.

WHAT WE ARE ASKING THE COMMITTEE TO APPROVE

An offer of \$1,100,000, all cash, 30-day diligence, 15-day close — with authority to \$1,250,000. Walk away above \$1,300,000. Two items gate the growth case and must be confirmed in diligence: the tenant's sales figures, and whether the lease demises all 3.13 acres.

A corner drive-thru on a shore-bound highway, on three acres it barely uses.

THE PROPERTY

Address	451 White Horse Pike (US Route 30), Atco — Waterford Township, Camden County NJ
Building	±4,400 SF freestanding Tax assessor records show 4,206 SF — measure before closing
Site	±3.13 acres — building covers just 3.2%
Position	Corner of Route 30 and Cooper Folly Road Two frontages: signage both ways, and entry off the side road instead of across highway traffic
Built	1960 as a bank branch; refitted 2023 Vault and secure infrastructure still in place — a bank can move straight back in
Feature	3-lane drive-thru — rare, and the reason the tenant pool is wide
Traffic	±15,370 vehicles a day, Philadelphia to the Jersey Shore

THE TENANT AND THE LEASE

Tenant	Holistic Solutions — NJ medical and adult-use cannabis dispensary Founded 2018. One location. Private. Three-plus years trading here
Covenant	Two personal guarantees No parent company, no credit rating, no financials in the offering
Lease type	Absolute NNN — tenant pays taxes, insurance, maintenance, roof and structure Genuinely valuable: the landlord has no obligations at all
Term	1 Feb 2023 to 31 Jan 2033 — 6.5 years left
Rent	\$132,000/yr — \$30.00/SF, flat No increases for the entire ten-year term. This is the flaw we buy at a discount and intend to fix
Option	One 5-year renewal at \$154,000, entirely at the tenant's choice A 14.0% yield on our basis if they take it — upside, never underwritten as income

They are selling us a rent that walks out the door. We are buying the building underneath it.

WHAT WE ARE BUYING

Property	4,400 SF freestanding building on 3.13 acres , corner of US Route 30 and Cooper Folly Road Former bank branch. Vault, 3-lane drive-thru, big parking field. 15,370 cars a day.
Tenant	Cannabis dispensary, one location , private Three years trading here. Two personal guarantees, no corporate covenant.
Lease	\$132,000/yr, absolute NNN , 6.5 years left Tenant pays taxes, insurance, roof, structure. Landlord does nothing. No rent increases.
Asking	\$1,600,000 — an 8.25% yield Priced as if \$30/SF were a market rent. It is not.
We offer	\$1,100,000 — a 12.0% yield \$250/SF, below replacement cost and below the county's own valuation.

THE WHOLE THESIS

The dispensary pays **\$30/SF**. Any ordinary tenant pays **\$22**. That 36% premium belongs to their licence, not to our building — and it disappears when they leave.

So we refuse to pay for it. We bid what the building is worth let to a bank or a doctor: **\$1.1M**.

WHAT THAT BUYS US FOR NOTHING

- 6.5 years of **above-market** cannabis rent
- The tenant's renewal option at \$154,000
- A 3-lane drive-thru on a corner
- **2.5 undeveloped acres** — the growth

The \$500,000 gap is one argument, not five.

BRIDGING THEIR ASK TO OUR OFFER

Their ask \$132,000 contract rent ÷ 8.25%	\$1,600,000
1. Use market rent, not their tenant's rent \$22.00/SF = \$96,800, capitalised at the same 8.25%	(\$426,700)
2. Widen the yield for lease quality 8.25% → 8.75% for flat rent, 6.5 years, personal guarantees	(\$67,000)
3. Negotiating margin	(\$6,300)
Our offer \$250/SF · a 12.0% yield on the rent in place	\$1,100,000

WHAT THIS MEANS AT THE TABLE

85% of the gap is a single question: is \$30.00/SF a market rent? Everything else is rounding. Do not negotiate the cap rate — negotiate the rent, and let their own comps settle it.

WHAT THEY SAY — AND HOW WE READ IT

THEIR SELLING POINT	OUR READ
"8.25% cap rate"	Right arithmetic, wrong rent. On <i>market</i> rent their price is a 6.05% cap
"Absolute NNN, zero landlord obligations"	Agreed — genuinely valuable, and part of why our floor holds
"3-lane drive-thru"	Agreed — the best feature in the deal and the reason the tenant pool is wide
"±3.13 acres, room to expand"	Agreed — and we value it at <i>zero</i> , so it is free to us
"Below replacement cost"	At their \$363/SF, barely. At our \$250/SF, decisively
"Double personal guarantee"	Two individuals is not a covenant. Worth ~75bps, not a headline
"Barrier-to-entry licensed industry"	Cuts both ways — only two licences in the township means a thin re-let market for cannabis

Every lease comp, both sides, one schedule.

#	ADDRESS	CITY	PROPERTY TYPE	SF	RENT/SF	ANNUAL RENT	D/T	SOURCE	STATUS
—	451 White Horse Pike	Atco	Freestanding, cannabis	4,400	\$30.00	\$132,000	3-lane	—	SUBJECT
1	1390 Blackwood-Clementon Rd	Clementon	Coffee kiosk, build-to-suit	510	\$303.92	\$155,000	Yes	THEIRS	In place
2	501 Delsea Drive	Sewell	Retail, second-hand	1,373	\$39.33	\$54,000	No	THEIRS	Signed 5 Jul
3	340 S White Horse Pike	Berlin	Freestanding retail	1,750	\$27.43	\$48,000	Yes	OURS	Asking
4	804 N White Horse Pike	Magnolia	Former Arby's, 38 spaces	3,035	n/a	n/a	Yes	OURS	On request
5	341 N White Horse Pike	Lawnside	Retail, second-hand (Avis)	3,300	\$27.96	\$92,268	n/a	THEIRS	Signed 5 Jun 25
6	69 NJ Route 73	Voorhees	QSR, build-to-suit (Wendy's)	3,321	\$47.47	\$157,659	Yes	THEIRS	In place
7	301 White Horse Pike	Chesilhurst	Convenience + fuel, BTS (Wawa)	5,585	\$58.19	\$325,000	Yes	THEIRS	In place
8	625 N Black Horse Pike	Blackwood	Pharmacy, BTS (Walgreens)	14,870	\$31.19	\$463,823	Yes	THEIRS	In place
9	142 NJ Route 73	Voorhees	Grocery big box (ALDI)	19,054	\$12.96	\$246,950	No	THEIRS	In place
10	706 N White Horse Pike	Magnolia	Flex / industrial	40,000	\$11.50	\$460,000	No	OURS	Asking
11	2 S White Horse Pike	Stratford	Freestanding QSR, corner	n/a	n/a	n/a	Yes	OURS	On request
12	Submarket average — retail	Berlin	All formats	—	\$21.00	—	—	OURS	Survey
13	Submarket average — retail	Sicklerville	All formats	—	\$20.00	—	—	OURS	Survey
14	Submarket average — retail	Hammonton	All formats	—	\$20.00	—	—	OURS	Survey
15	Submarket average — retail	Atco	In-line strip space	—	\$13.00	—	—	OURS	Survey
16	Medical space average	New Jersey	Medical	—	\$24.00	—	—	OURS	Survey

D/T = DRIVE-THRU • BTS = BUILD-TO-SUIT • ROWS 1, 6, 7, 8 ARE BUILD-TO-SUIT: RENT REPAYS LAND AND CONSTRUCTION, NOT COMPARABLE TO A SECOND-HAND LETTING

Adjusted to our building: \$21.52–\$24.78. We underwrite \$22.00.

#	COMPARABLE	CITY	SF	RENT/SF	SIZE ADJ	LOCATION	TERM	NET	ADJUSTED RENT/SF	BASIS OF ADJUSTMENT
1	501 Delsea Drive	Sewell	1,373	\$39.33	−30%	−10%	—	−37%	\$24.78	3.2× smaller; term not disclosed
2	340 S White Horse Pike	Berlin	1,750	\$27.43	−20%	—	—	−20%	\$21.94	2.5× smaller; same market; has drive-thru
3	341 N WHP (Avis Budget)	Lawnside	3,300	\$27.96	−10%	−10%	−5%	−23%	\$21.52	Signed Jun-25; 3-yr term; denser location
—	INDICATED RANGE	\$21.52 — \$24.78 mean \$22.75 median \$21.94							Three second-hand lettings	
—	CONCLUDED MARKET RENT	\$22.00 / SF = \$96,800 per year							Low end of the range, deliberately	
—	IN-PLACE CANNABIS RENT	\$30.00 / SF = \$132,000 per year a 36% premium							Expires with the tenant	

EXCLUDED FROM THE GRID, AND WHY

COMPARABLE	SF	\$/SF	REASON FOR EXCLUSION
7 Brew, Clementon	510	\$303.92	Build-to-suit — rent repays land + construction
Wendy's, Voorhees	3,321	\$47.47	Build-to-suit
Wawa, Chesilhurst	5,585	\$58.19	Build-to-suit; includes fuel
Walgreens, Blackwood	14,870	\$31.19	Build-to-suit; national credit; legacy rent
ALDI, Voorhees	19,054	\$12.96	4.3× subject size; different product
706 N WHP, Magnolia	40,000	\$11.50	Flex / industrial — different use class
804 N WHP, Magnolia	3,035	n/a	Rate not published — closest analogue, call the agent

CROSS-CHECK: REGRESSION ON SECOND-HAND COMPS ONLY

BUILDING SIZE	FITTED RENT/SF
1,373 SF	\$34.27
1,750 SF	\$32.49
3,300 SF	\$27.85
4,400 SF — subject	\$25.74
19,054 SF	\$15.00
Fit quality	R ² = 0.89

READ THIS LINE

Regression says **\$25.74**. The grid says **\$21.52–\$24.78**. We use **\$22.00** — at or below both. Every return in this deck is struck on the conservative number.

Cannabis net lease trades 7.40% to 9.35%.

We buy at 12.00%.

#	COMPARABLE	MARKET	PRICE	GOING-IN CAP	TERM LEFT	GUARANTEE	RENT BUMPS	STATUS
1	STNL all-tenant average	United States	—	6.80%	—	Mixed	—	Q1-2026
2	Jungle Boys	Naples, FL	—	7.40%	n/a	Corporate	2% / yr	Listing
3	Cookies	Kalamazoo, MI	\$3,100,000	8.25%	10 yrs	Corporate	—	Listing
4	SUBJECT at their ask	Atco, NJ	\$1,600,000	8.25%	6.5 yrs	2 personal	NONE	Asking
5	LivWell	Aurora, CO	\$1,025,000	8.87%	n/a	Corporate	—	CLOSED
6	Ascend	Pennsylvania	—	9.25%	n/a	Corporate	—	Listing
7	Curaleaf	Worth, IL	—	9.35%	n/a	Corporate	10% / 5 yrs	Listing
—	SUBJECT at our offer	Atco, NJ	\$1,100,000	12.00%	6.5 yrs	2 personal	NONE	OUR BID

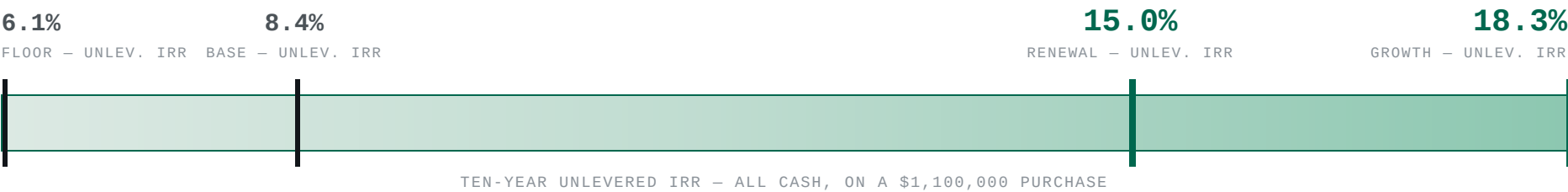
ATTRIBUTE COMPARISON — SUBJECT VS THE COMP SET

ATTRIBUTE	COMP SET	SUBJECT	EFFECT
Guarantee	Corporate / MSO	2 individuals, 1 shop	Worse
Rent bumps	2%/yr or 10%/5yr	None at all	Worse
Rent vs market	At or near market	36% above	Worse
Term remaining	8–15 yrs typical	6.5 yrs	Worse
Market backdrop	Mixed	NJ: 300+ shops, –23%	Worse
Real estate	Varies	Corner, drive-thru, 3 ac	Better
Local competition	Varies	2-licence township cap	Better
Fair cap rate for this asset			9.25–10.25%

VALUATION SUMMARY — FOUR METHODS

METHOD	INDICATED VALUE	WEIGHT	VS OUR OFFER
Current income @ 9.75%	\$1,353,800	40%	+23%
Tax assessor equalized	\$1,271,000	20%	+16%
County \$/SF × 4,400	\$1,201,200	15%	+9%
Market rent @ 8.75%	\$1,106,300	25%	+0.6%
WEIGHTED VALUE	\$1,252,500	100%	+14%
OUR OFFER	\$1,100,000	—	\$250 / SF
THEIR ASK	\$1,600,000	—	28% over value

Four ways this plays out. All four make money.



Outcome	What has to happen	10-YR unlevered IRR	Total cash returned (equity multiple)	Net profit	How likely
Renewal	The tenant takes its five-year option at \$154,000. No void, nothing for us to spend.	14.95%	\$3,061,865 2.78x equity multiple	\$1,961,865	Likeliest
Growth	We let the spare land from year 3 and re-let the building to a medical tenant on a lease with increases.	18.33%	\$3,999,438 3.64x equity multiple	\$2,899,438	If we execute
Base	Tenant leaves. Twelve months empty. We re-let at ordinary market rent and never touch the land.	8.40%	\$1,928,561 1.75x equity multiple	\$828,561	Realistic
Floor	Tenant fails. Eighteen months empty. We re-let at the very bottom of the market. Land never touched.	6.13%	\$1,634,677 1.49x equity multiple	\$534,677	Downside

THE ONE SENTENCE

Across every outcome we can model, the money comes back with a profit — with an equity multiple between **1.49x** and **3.64x**. The question is not whether this works, it is how well.

CAREFUL WITH ONE NUMBER

The **12.0%** on the cover is the *going-in cap rate* — year-one NOI divided by price. The column above is the *ten-year unlevered IRR*. Two different measures; they are not meant to match.

The same four outcomes, with every standard metric.

For reference — the slide before this one carries the decision.

ACQUISITION — FIXED IN EVERY CASE

Purchase price	\$1,100,000
Price per square foot	\$250.00
Gross leasable area	4,400 SF
Year-1 NOI (absolute NNN)	\$132,000
In-place rent per SF	\$30.00
GOING-IN CAP RATE	12.00%
Cap rate on market rent (\$22/SF)	8.80%
Cap rate at their \$1.6M ask	8.25%

DEBT — 55% LTV, 10.0%, 25-YR AMORTISATION

Loan amount	\$605,000
Equity required	\$495,000
Loan constant	10.90%
Annual debt service	\$65,972
DSCR, year 1	2.00x
DEBT YIELD (NOI ÷ loan)	21.8%
Break-even occupancy	50% of rent
Loan balance, year 10	\$511,596

CASH - ON - CASH — YEAR 1

Unlevered cash flow (= NOI)	\$132,000
Unlevered cash-on-cash (= cap rate)	12.00%
Cash flow after debt service	\$66,028
LEVERED CASH-ON-CASH	13.34%
Simple payback, unlevered / levered	8.3 / 7.5 yrs

RETURNS BY CASE — 10-YEAR HOLD, PURCHASE AT \$1,100,000

METRIC	FLOOR	BASE	RENEWAL	GROWTH
Exit NOI	\$81,180	\$99,220	\$154,000	\$208,240
Exit (terminal) cap rate	9.00%	8.75%	9.25%	8.00%
Sale price, year 10	\$902,000	\$1,133,943	\$1,664,865	\$2,603,000
UNLEVERED IRR	6.13%	8.40%	14.95%	18.33%
Total cash returned	\$1,634,677	\$1,928,561	\$3,061,865	\$3,999,438
Equity multiple, unlevered	1.49x	1.75x	2.78x	3.64x
Profit over the hold	\$534,677	\$828,561	\$1,961,865	\$2,899,438
LEVERED IRR	-1.08%	6.29%	19.40%	24.43%
Equity multiple, levered	0.94x	1.53x	3.82x	5.71x
Average cash-on-cash, yrs 1–9	1.3%	2.3%	14.6%	13.3%
Yield on cost at stabilisation	7.4%	9.0%	14.0%	16.7%

THE SAME FOUR CASES AT THEIR \$1,600,000 ASK

METRIC	FLOOR	BASE	RENEWAL	GROWTH
Unlevered IRR	0.31%	2.59%	8.88%	12.25%
Levered IRR	-39.93%	-12.13%	7.77%	14.15%
DSCR 1.38x · debt yield 15.0% · cash-on-cash 5.0% · payback 12.1 yrs	Most lenders decline below 1.35x			

WHAT THESE TERMS MEAN	
Cap rate	Year-one rent divided by price. A snapshot yield, not a return over time.
IRR	The annual return over the whole ten years, counting rent and the sale together.
Cash-on-cash	Cash in your pocket each year divided by cash you put in.
Equity multiple	Total money back divided by money in. 2.0× means you doubled it.
DSCR	Rent divided by the loan payment. Lenders want 1.25× or better.

THE TWO RED FIGURES
With debt, the worst case returns -1.08% and 0.94x — slightly less back than you put in. Unlevered that case is still 6.13% and 1.49x. Buy for cash, or keep leverage at 35–40%,

Six tenants want this building.

The two best need almost no work.

WHO TAKES IT	RENT/SF	YIELD ON COST	VOID PERIOD	LANDLORD CAPITAL	LEASE TERM	DO THEY STAY?
Urgent care, dental, vet Deepest pool in South Jersey; drive-thru becomes a covered patient drop-off	\$22–26	8.8–10.4%	12–17 mo	\$264,000	10–15 yrs	Yes — they sink capital in and never move
Bank or credit union The building already is one — vault, drive-thru and teller line all transfer	\$22–26	8.8–10.4%	6–10 mo	\$22,000	10–15 yrs	Yes — cheapest and fastest route back to rent
Another cannabis operator	\$28–34	11.2–13.6%	12–18 mo	\$66,000	10 yrs	Yes, but only two licences exist in the township
Fast food or coffee drive-thru	\$38–48	7.6–9.6%	18–24 mo	\$286,000	15–20 yrs	Yes — but needs the box split; better on the spare land
Daycare or nursery	\$18–22	7.2–8.8%	18–30 mo	\$308,000	10–15 yrs	Yes, but slowest to start
Ordinary shop or service	\$18–22	7.2–8.8%	8–12 mo	\$132,000	5–10 yrs	No — rolls every five years. The outcome to avoid

THE OBJECTIVE: ONE RE-LETTING, NOT PERPETUAL CHURN	HOW LONG, STEP BY STEP
451 WHITE HORSE PIKE, ATCO, NJ — INVESTMENT COMMITTEE We want a single re-letting to a tenant on a 10–15 year lease with rent increases — then it goes quiet for a decade. That is	Find a tenant4–9 moAgree the lease2–3 mo13

The building sits on 3.13 acres. It uses 3% of them.

IDLE LAND	INCREMENTAL NOI	VALUE CREATED	YR-1 YIELD ON COST
2.48 ac Coverage is 3.2% of the site	\$100k Per year, on land earning zero	\$1.10M NOI ÷ 8.0% exit cap, less \$150k cost	12% → 21% NOI ÷ total cost, same basis

TWO INCOME STREAMS, NEITHER OF THEM PAID FOR

- \$80,000

Annual ground rent — pad. Fast food, coffee, car wash or a medical building. The tenant builds at their own cost; we let them the dirt.
- \$20,000

Annual licence fee — EV charging. Six to eight rapid chargers. The operator funds all the equipment and pays us a share of revenue.

THE SELLER'S OWN COMPS PROVE THIS

He sent us drive-thru pad deals on this exact kind of highway: 7 Brew at \$155,000 a year, Wendy's at \$157,659, Wawa at \$325,000. Those are build-to-suit rents; a ground lease runs 40–55% of that. Our \$80,000 is the conservative read.

WHAT IT DOES TO THE DEAL

Buy at our offer	\$1,100,000
Monetise the spare land	\$2,508,000
Re-let building on a proper lease	\$2,492,000
Ordinary tenant → it becomes mortgageable	\$2,653,000
Less land works, fit-out, letting fees	(\$466,800)
Sale price in the growth case	\$2,603,000

2.4× our entry price at year 10 — and the \$150,000 of land cost and \$317,000 of fit-out are already run through the cash flow on the returns slide, not netted here.

Our price is what makes this financeable at all.

High-street banks will not lend against a cannabis-let building — which is exactly why these assets sell cheap. This needs a private lender or credit union at roughly 9–11%. At our price the numbers work comfortably. At theirs, a lender would decline.

PURCHASE PRICE	LOAN 55% LTV	EQUITY REQUIRED	ANNUAL DEBT SERVICE	DSCR	LEVERED CASH-ON-CASH YR1	LEVERED IRR 10-YR RANGE
\$1,100,000 our offer	\$605,000	\$495,000	\$65,972	2.00×	13.3%	6.3–24.4%
\$1,250,000 — ceiling	\$687,500	\$562,500	\$74,968	1.76×	10.1%	3–18%
\$1,600,000 — their ask	\$880,000	\$720,000	\$95,959	1.38×	5.0%	–40% to +14%

WHAT 2.00× COVER MEANS

The rent is double the loan payment. Lenders want 1.25× and get nervous below it. At their ask the cover falls to 1.38× — thin enough that most lenders decline outright.

THE CROSSOVER IS \$1,250,000

At our price the loan costs 10% against a 12% cash yield, so borrowing **adds** return. At \$1.25M the yield falls to 10.6% and it is roughly neutral. Above that the debt costs more than the building earns. **The same ceiling our valuation produced, reached independently.**

AND IT IS A NEGOTIATING CARD

Because almost no buyer can finance this, **all cash in 45 days** is worth real money to a seller whose alternative is a buyer whose loan dies in diligence. Sell that hard.

What kills this deal, and why it does not.

THE REAL RISK: CAN THE TENANT PAY?

Under this lease the shop carries rent *plus* taxes, insurance and upkeep — **\$193,400 a year**, or \$43.95 per foot. It needs roughly **\$2.15M of annual sales** to carry that comfortably.

IF THE SHOP TURNS OVER	\$2.0M	\$2.5M	\$3.0M
Occupancy cost	9.7%	7.7%	6.4%
Verdict	Struggling	Tight	Fine

WHY IT DOES NOT SINK US

We priced the building as if the tenant were **already gone**. Our \$1.1M is what it is worth let to any ordinary tenant at \$22/SF.

We do not need this dispensary to survive.

FOUR LAYERS UNDER THE PRICE

- \$1.1M

Market-rent value @ 8.75% cap. Our offer equals what the building fetches let to a bank or doctor. Zero exposure to the cannabis rent.
- 68%

Share of price covered by land + shell. \$750,000 of hard asset value behind a \$1.1M price.
- \$21.25

Break-even rent, \$/SF versus a \$22.00 market — and the seller's own signed comp on this road confirms \$22.
- 2.00x

DSCR — rent ÷ debt service. Rent is double the loan payment. Lenders want 1.25x.

TWO THINGS TO CONFIRM BEFORE HARD MONEY

1. The tenant's actual sales figures — the single most valuable number in diligence.

2. Whether the lease demises all 3.13 acres. If it does, the land plan waits until 2033. *Our price does not depend on it either way.*

How wrong can we be and still be fine?

THE SAME FOUR CASES AT THREE DIFFERENT PURCHASE PRICES

CASE — 10-YR UNLEVERED IRR	AT OUR \$1.10M	AT \$1.25M	AT THEIR \$1.60M
Floor — tenant fails, weak re-let	6.13%	3.9%	-0.6%
Base — re-let at market rent	8.40%	6.1%	1.6%
Renewal — the likeliest single outcome	14.95%	12.3%	7.4%
Growth — land let and quality re-let	18.33%	15.5%	10.2%

IF WE ARE WRONG ABOUT MARKET RENT

MARKET RENT PROVES TO BE	ANNUAL NOI	YIELD ON COST	VALUE @ 8.75% CAP
\$16.00 — below anything on the road	\$70,400	6.40%	\$804,600
\$18.00 — bottom of the range	\$79,200	7.20%	\$905,100

BOTH TESTS POINT THE SAME WAY

At our price **every outcome is positive**, from 6.1% to 18.3%. At their price the same four outcomes run -0.6% to 10.2% — two of the four lose money or barely beat cash.

The entry price, not the forecast, is what makes this work.

WHO BUYS IT FROM US IN 2033

Cannabis tenant renewed, 5 years left	\$1,664,900	Cannabis specialists only — cash buyers, small pool
Re-let to a bank on a long lease	\$1,320,000	Ordinary tenant → banks will lend → the national market opens
Re-let to a medical tenant	\$1,362,600	Medical property is in stronger demand still
Empty — land and building only	\$750,000	A local owner-operator or developer

What we verify before a dollar is at risk.

THE TWO THAT ACTUALLY MATTER

1. The tenant's sales figures. The shop carries \$193,400 a year all-in and needs roughly **\$2.15M of turnover** to do it comfortably. This one number sets the renewal odds the model turns on.

2. Does the lease demise all 3.13 acres? If it does, the land plan waits until 2033. *Our price does not depend on it either way* — but the growth case does.

TENANT AND LEASE

- Full lease and every amendment; confirm who really pays for roof, structure and plant
- Both personal guarantees — what they cover, any caps, whether they burn off
- Guarantors' personal financial statements
- Tenant estoppel and the payment history since 2023

LEGAL, PLANNING AND BUILDING

- Cannabis licence status, expiry and any site-specific conditions
- Township approval, and whether the second cannabis licence is still available
- Pinelands Commission position; mains drainage or septic
- Whether a pad can be split off and built on
- The actual current tax bill, and the case for an appeal at our price
- Measure the floor area (4,400 SF claimed vs 4,206 on record)
- Roof and plant condition; environmental and boundary surveys; title

ON THE EVIDENCE BEHIND THIS DECK

Rent and sale comparables are drawn from listing platforms, brokers' announcements and published market research. **Most are asking rates and marketed prices, not verified completed deals** — the Avis and Delsea lettings and the LivWell sale are the exceptions. All should be re-run against CoStar, Crexi and county deed records during diligence. Operating costs, fit-out, void and land figures are our estimates. This is an investment analysis, not a formal valuation.

Approve \$1,100,000. Hold to \$1,250,000.

OFFER \$1,100,000 All cash · 30-day diligence · 15-day close	CEILING \$1,250,000 Base-case unlev. IRR ~6%. Leverage turns neutral	WALK AWAY \$1,300,000 Above indicated value of \$1,252,500	THEIR ASK \$1,600,000 Base-case unlev. IRR 1.6%. Decline
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HOW WE WIN THE NEGOTIATION

- 1

Argue the rent, not the yield. Do not debate whether 8.25% is right. Show that \$30/SF is not a market rent — and use *his own* signed comp on this road, which adjusts to \$21.52.
- 2

Point at the county. Camden County's own equalized value is **\$1,271,000**. An independent third party already says this is not a \$1.6M building.
- 3

Sell certainty. Almost nobody can finance a cannabis-let building. All cash in 45 days is worth real money against a buyer whose loan dies.

WHAT WE DO AFTER WE OWN IT

- Yr 0–1

Collect \$132,000. Confirm the lease boundary and the tenant's sales. Appeal the assessment.
- Yr 1–3

Entitle and let a pad; licence the EV charging. Spend ~\$150,000, add ~\$100,000 a year.
- Yr 5–7

Market 18 months early. Land a doctor or credit union on a 10–15 year lease **with increases**.
- Yr 8–10

Hold a passive, growing, mortgageable asset — or sell. Growth case exit: **\$2.60M**.

IN ONE LINE

A corner drive-thru at **\$250 a foot**. Most of our money back before the lease ends, **all four outcomes positive (6.1% to 18.3%)**, and 2.5 acres of free optionality.